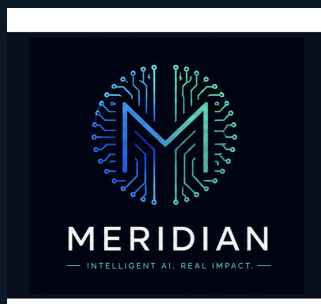




Barber Republic

Funding Structure Proposal -- For Discussion

Bridge, Trial, Seed and Series 1-3 funding ladder

Prepared for the 4pm call

PRIVATE AND CONFIDENTIAL

THE FUNDING LADDER

Equity modelled with all current equity held by Johnny alone. Shane and John's position is deliberately excluded from the cap table below, addressed separately at the end. No revenue assumed anywhere pre-launch — costs and expenses only throughout.

Stage	Name	Timing	Purpose	ESTIMATE cost
0	Bridge	Now, days	MVP build (Velocity AI proposal)	£50,000
1	Trial / Pre-Seed	Month 4-10	Prove density: ~30 shops London, ~15 Manchester	£90k-£150k
2	Seed	Month 10-12	Launch funding, both markets live	£300k-£500k
3	Series 1	Month 20-24	Wider UK + US, parallel early Europe	£2m-£4m
4	Series 2	Month 30-36	Europe scale-out + Japan entry	£6m-£10m
5	Series 3	Month 36+	Full global scale, adjacent trades	£10m+

THE TRIAL / PRE-SEED PHASE, COSTED (MONTH 4-10)

Proving density with ~30 London shops/barbers and ~15 Manchester shops/barbers, over a 6-7 month window. No revenue assumed — pure cost.

- **Continued platform development (Shane/Velocity AI):** reduced-rate retainer for iteration and refinement — ESTIMATE £3,000-£6,000/month × 6-7 months = £18,000-£42,000.
- **In-market business development, both cities:** recruiting and onboarding 45 shops and 45+ barbers — ESTIMATE £2,500-£4,000/month per city = £30,000-£56,000 combined.
- **Johnny's own time and travel, London ↔ Manchester:** a real cost even if unpaid to himself — ESTIMATE £5,000-£10,000.
- **Early incentives to shops/barbers** (founding-cohort offers, reduced/waived fees): ESTIMATE £10,000-£25,000.
- **Operational tooling, support, insurance, admin:** ESTIMATE £12,000-£21,000.

Trial phase total: ESTIMATE £75,000-£154,000. Working planning range £90,000-£150,000, with the wider figure as contingency. Model properly once Shane confirms retainer rate and Johnny confirms realistic BD headcount cost per city.

EQUITY STRUCTURE -- TWO SCENARIOS FOR ED'S £50K

Scenario A -- Equity, no further contribution from Ed

Ed's £50k converts via the capped, discounted note at the seed round into roughly **9-10% of Barber Republic**, fixed at that point, assuming no further money in. Johnny holds the remaining **~90-91%** at that moment, before sweat equity and before any further raise. Every subsequent round dilutes both proportionally: if Series 1 raises £3m against an illustrative £12m post-money valuation, that round alone dilutes existing holders by roughly 25%, taking Ed from ~9-10% to roughly ~7%, and onward through Series 2 and 3. By Series 3, without further contribution, Ed's stake could reasonably land in the **3-5% range** — still meaningful in cash value if the company scales, but materially smaller in percentage terms at every round.

Scenario B -- Loan, not convertible, repaid on a timeline with a strong coupon

Ed's £50k is a straight loan: fixed repayment timeline, fixed coupon, no equity, no conversion right. Johnny retains 100% of the company throughout (before sweat equity). Ed carries no upside if Barber Republic succeeds beyond expectations, but materially less risk — owed a fixed sum on a fixed date regardless of performance, and sitting ahead of equity holders if anything goes wrong. Worth asking Ed directly which he actually wants; the earlier call suggested equity and passive participation, but this should be costed and ready as the alternative.

THE POST-TRIAL FUNDING QUESTION -- ED AGAIN, OR A NEW THIRD PARTY

If Ed's £50k funds only the MVP build, Barber Republic needs fresh money for the Trial/Pre-Seed phase — a second, separate conversation, potentially with Ed again or a new third party (e.g. Johnny's contact Dave). The same two structures apply: **equity** (dilutes Johnny and any agreed sweat equity further, but shares the risk of a pure-cost trial phase) versus **loan** (no dilution, but a real repayment obligation sitting on the business before any revenue exists). Recommend deciding the instrument type before deciding who provides it.

SHANE AND JOHN'S SWEAT EQUITY -- HELD SEPARATELY, NOT YET SIZED

The work done across the past three to four months — a build that could reasonably have cost c. £120,000 at commercial rates, delivered at a materially reduced/waived cost, plus all analysis, structuring and advisory work to date — should convert into a defined sweat-equity position for Shane and John. Deliberately not sized in this document: a separate conversation between Shane and John, to be resolved before or alongside the Stage 1 raise, then layered into the cap table above once agreed.

Recommend resolving sweat equity before Ed or any third party's percentage is finalised — sweat equity carved out after outside investors are in dilutes them too, and carving it out first is the cleaner sequencing.